

24 June 2026

Taiwan Technology

Reuters 8046.TW
Bloomberg 8046 TT

Priced on 24 June 2026
Taiwan Wtd @ 46,043.6

12M hi/lo NT\$1,005.00/111.50

12M price target NT\$1,300.00
±% potential +36%

Shares in issue 646.2m
Free float (est.) 35.4%

Market cap US\$19.5bn

3M ADV US\$492.2m

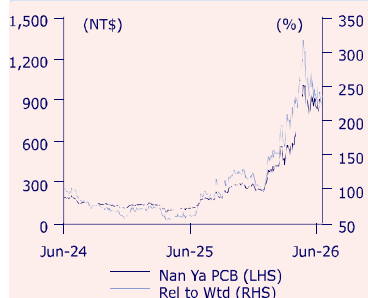
Foreign s'holding 12.8%

Major shareholders
Nan Ya Plastic 63.4%
Vanguard Group 1.4%

SinoPac analysts:
Sam Kao, SinoPac

Stock performance (%)

	1M	3M	12M
Absolute	(2.7)	70.2	745.6
Relative	(12.7)	18.3	290.1
Abs (US\$)	(3.5)	71.4	685.8



Source: Bloomberg

Much more to come

Maintain Outperform on stronger substrate pricing ahead

We attribute the recent ABF weakness (sector has underperformed Taiex by 16-23% since early May) to a lack of monthly sales surprises, with rising concerns about pricing power and expectation misses, after strong share price rallies YTD. We expect strong margin expansion in 2Q26 and more price hikes in 2H26 to put an end to the pricing power debate for the ABF sector, and we view this as only the first potential quarterly beat in this upcycle, and see much more to come with more favourable pricing terms into 2027/28. We raise 26/27SP EPS by 29%/18% and our target PE to 40x, lifting our TP from NT\$840 to NT\$1,300. Outperform.

2Q26 earnings preview and 3Q26 outlook

While QTD sales are tracking only in line with our/consensus forecasts, we see greater margin upside thanks to stronger price hikes and higher utilisation. We now forecast 2Q26 gross margin to jump to 21% (with further potential upside), which puts our EPS forecast 30% ahead of consensus. For 3Q26, we forecast high-single-digit QoQ sales growth, with better margins.

Stronger price hikes ahead

Our industry survey suggests 2Q26 price hikes on ABF substrate are tracking far ahead of our previous forecast of high-single-digits QoQ, with 3Q26 pricing likely to see another solid double-digit growth sequentially. With new ASIC and datacentre networking substrate projects to ramp from 2H26, this should further enhance NYPCB margins. The company currently has no major expansion plans, with capacity likely to increase by only 5% due to production site optimisation.

Appetiser first; much more to come

We attribute the recent ABF weakness (underperformed the Taiex by 16-23% since early May) to the lack of monthly sales surprises, with rising concerns about pricing power and expectation misses, after strong share price rallies YTD. We expect strong margin expansion in 2Q26, followed by further price hikes in 2H26 to put an end to the pricing power debate for the ABF sector, and we view this as an appetiser (only the first potential quarterly beat in this upcycle), with much more to come with more favourable pricing terms into 2027/28 (see *A seller's market*).

Earnings revisions and valuations

We raise 26/27SP EPS by 29%/18% and our target PE multiple to 40x (lower bound of the sector average) from 30x, to reflect the more favourable pricing environment for ABF substrate. Lift TP from NT\$840 to NT\$1,300 and reiterate Outperform.

Financials

Year to 31 December	24A	25A	26SP	27SP	28SP
Revenue (NT\$m)	32,283	40,173	52,935	71,767	86,258
Rev forecast change (%)	-	-	3.4	3.5	-
Net profit (NT\$m)	204	1,947	9,466	21,223	33,992
NP forecast change (%)	-	-	28.7	17.7	-
EPS (NT\$)	0.32	3.01	14.65	32.84	52.61
SP/consensus (14) (EPS%)	-	-	116	114	99
EPS growth (% YoY)	(96.5)	855.6	386.2	124.2	60.2
PE (x)	3,029.0	317.0	65.2	29.1	18.2
Dividend yield (%)	0.1	0.2	0.9	2.1	3.3
ROE (%)	0.4	4.3	18.7	33.9	42.0
Net cash per share (NT\$)	13.12	13.29	38.73	66.69	105.59

Source: SinoPac

Change in target price

Click to rate this research



Financials at a glance

Year to 31 December	2024A	2025A	2026SP	(% YoY)	2027SP	2028SP
Profit & Loss (NT\$m)						
Revenue	32,283	40,173	52,935	31.8	71,767	86,258
Cogs (ex-D&A)	(25,466)	(29,632)	(33,343)		(37,765)	(36,683)
Gross Profit (ex-D&A)	6,818	10,541	19,592	85.9	34,002	49,575
SG&A and other expenses	(1,624)	(1,665)	(1,749)		(1,800)	(1,800)
Op Ebitda	5,193	8,876	17,843	101	32,202	47,775
Depreciation/amortisation	(6,460)	(6,894)	(7,203)		(7,200)	(7,200)
Op Ebit	(1,267)	1,982	10,640	436.7	25,002	40,575
Net interest inc/(exp)	238	144	212	46.8	238	238
Other non-Op items	1,192	219	694	217.2	642	642
Profit before tax	163	2,346	11,546	392.2	25,882	41,454
Taxation	41	(399)	(2,080)		(4,659)	(7,462)
Profit after tax	204	1,947	9,466	386.2	21,223	33,992
Minority interest	0	0	0		0	0
Net profit	204	1,947	9,466	386.2	21,223	33,992
Adjusted profit	204	1,947	9,466	386.2	21,223	33,992
Cashflow (NT\$m)						
Operating profit	(1,267)	1,982	10,640	436.7	25,002	40,575
Depreciation/amortisation	6,460	6,894	7,203	4.5	7,200	7,200
Working capital changes	(2,617)	(2,304)	2,146		(3,692)	(2,464)
Other items	(416)	(3,546)	(210)		(2,809)	(5,612)
Net operating cashflow	2,160	3,027	19,779	553.4	25,701	39,698
Capital expenditure	(2,379)	(2,422)	(2,500)		(2,500)	(2,500)
Free cashflow	(219)	605	17,279	2,757.6	23,201	37,198
M&A/Others	(223)	700	94	(86.6)	190	328
Net investing cashflow	(2,602)	(1,723)	(2,406)		(2,310)	(2,172)
Increase in loans	-	-	-		-	-
Dividends	(3,554)	(646)	(1,292)		(5,679)	(12,734)
Net equity raised/other	(289)	(241)	350		350	350
Net financing cashflow	(3,843)	(887)	(942)		(5,329)	(12,384)
Incr/(decr) in net cash	(4,285)	418	16,431	3,834.7	18,062	25,142
Exch rate movements	436	(309)	2		8	(6)
Balance sheet (NT\$m)						
Cash & equivalents	8,481	8,590	25,023	191.3	43,092	68,229
Accounts receivable	7,118	9,708	9,453	(2.6)	12,815	15,403
Other current assets	5,076	5,325	5,326	0	5,878	5,743
Fixed assets	39,991	35,373	35,113	(0.7)	29,542	23,942
Investments	774	961	974	1.4	917	951
Intangible assets	0	0	0		0	0
Other non-current assets	1,499	1,250	1,491	19.2	1,413	1,385
Total assets	62,938	61,207	77,380	26.4	93,658	115,653
Short-term debt	-	-	-		-	-
Accounts payable	1,518	1,711	3,526	106.1	3,910	3,816
Other current liabs	5,147	5,478	5,554	1.4	5,393	5,475
Long-term debt/CBs	-	-	-		-	-
Provisions/other LT liabs	10,824	7,896	14,003	77.4	14,515	15,263
Shareholder funds	44,662	46,574	54,747	17.5	70,291	91,550
Minorities/other equity	788	(451)	(451)		(451)	(451)
Total liabs & equity	62,938	61,207	77,380	26.4	93,658	115,653
Ratio analysis						
Revenue growth (% YoY)	(23.6)	24.4	31.8		35.6	20.2
Ebitda margin (%)	16.1	22.1	33.7		44.9	55.4
Ebit margin (%)	(3.9)	4.9	20.1		34.8	47.0
Net profit growth (%)	(96.5)	855.6	386.2		124.2	60.2
Op cashflow growth (% YoY)	(86.9)	40.2	553.4		29.9	54.5
Capex/sales (%)	7.4	6.0	4.7		3.5	2.9
Net debt/equity (%)	(18.7)	(18.6)	(46.1)		(61.7)	(74.9)
Net debt/Ebitda (x)	-	-	-		-	-
ROE (%)	0.4	4.3	18.7		33.9	42.0
ROIC (%)	(3.3)	3.6	20.1		49.6	85.8

Source: SinoPac

Click to rate this research



Figure 1

Quarterly P&L												
(NT\$m)	1Q26	2Q26SP	3Q26SP	4Q26SP	1Q27SP	2Q27SP	3Q27SP	4Q27SP	2025	2026SP	2027SP	2028SP
Sales	11,177	13,021	13,968	14,768	15,892	17,248	18,584	20,042	40,173	52,935	71,767	86,258
Gross profit	1,771	2,840	3,504	4,274	5,164	6,191	7,374	8,073	3,647	12,389	26,802	42,375
Opex	419	430	450	450	450	450	450	450	1,665	1,749	1,800	1,800
Operating profit	1,352	2,410	3,054	3,824	4,714	5,741	6,924	7,623	1,982	10,640	25,002	40,575
Non-OP	246	220	220	220	220	220	220	220	363	906	879	879
Pretax profit	1,598	2,630	3,274	4,044	4,934	5,961	7,144	7,843	2,346	11,546	25,882	41,454
Net profit	1,309	2,157	2,685	3,316	4,046	4,888	5,858	6,431	1,947	9,466	21,223	33,992
EPS (NT\$)	2.03	3.34	4.15	5.13	6.26	7.56	9.07	9.95	3.01	14.65	32.84	52.61
Growth												
Sales QoQ	0%	17%	7%	6%	8%	9%	8%	8%				
Sales YoY	32%	36%	27%	32%	42%	32%	33%	36%	24%	32%	36%	20%
EPS QoQ	9%	65%	24%	24%	22%	21%	20%	10%				
EPS YoY	531%	na	270%	176%	209%	127%	118%	94%	856%	386%	124%	60%
Margin												
Gross margin	15.8%	21.8%	25.1%	28.9%	32.5%	35.9%	39.7%	40.3%	9.1%	23.4%	37.3%	49.1%
Opex	3.8%	3.3%	3.2%	3.0%	2.8%	2.6%	2.4%	2.2%	4.1%	3.3%	2.5%	2.1%
OP margin	12.1%	18.5%	21.9%	25.9%	29.7%	33.3%	37.3%	38.0%	4.9%	20.1%	34.8%	47.0%
Non-OP	2.2%	1.7%	1.6%	1.5%	1.4%	1.3%	1.2%	1.1%	0.9%	1.7%	1.2%	1.0%
Net margin	11.7%	16.6%	19.2%	22.5%	25.5%	28.3%	31.5%	32.1%	4.8%	17.9%	29.6%	39.4%

Source: SinoPac

Figure 2

Forecast revisions						
(NT\$m)	2026SP			2027SP		
	old	new	% ch	old	new	% ch
Revenue	51,190	52,935	3%	69,314	71,767	4%
Gross profit	9,848	12,389	26%	23,013	26,802	16%
Opex	1,760	1,749	(1%)	1,900	1,800	(5%)
Operating profit	8,088	10,640	32%	21,113	25,002	18%
Pretax profit	8,967	11,546	29%	21,992	25,882	18%
Tax expense	1,614	2,080	29%	3,959	4,659	18%
Net profit	7,353	9,466	29%	18,033	21,223	18%
EPS (NT\$)	11.38	14.65	29%	27.91	32.84	18%
Margin						
Gross margin	19.2%	23.4%		33.2%	37.3%	
Operating margin	15.8%	20.1%		30.5%	34.8%	
Tax rate	18.0%	18.0%		18.0%	18.0%	
Net margin	14.4%	17.9%		26.0%	29.6%	

Source: SinoPac

Click to rate this research



Figure 3

Sales mix assumptions

Sales (NT\$m)	2025	2026SP	2027SP	2028SP
ABF	21,983	31,160	46,052	59,772
BT	12,522	16,038	20,077	20,717
PCB	5,667	5,737	5,638	5,769
Total	40,173	52,935	71,767	86,258

YoY (%)	2025	2026SP	2027SP	2028SP
ABF	40%	42%	48%	30%
BT	27%	28%	25%	3%
PCB	(15%)	1%	(2%)	2%
Total	24%	32%	36%	20%

Sales mix (%)	2025	2026SP	2027SP	2028SP
ABF	55%	59%	64%	69%
BT	31%	30%	28%	24%
PCB	14%	11%	8%	7%
Total	100%	100%	100%	100%

Gross margin (%)	2025	2026SP	2027SP	2028SP
ABF	14%	32%	52%	66%
BT	3%	14%	15%	13%
PCB	2%	0%	0%	0%
Total	9%	23%	37%	49%

Source: SinoPac

Figure 4

Target price change

	Target PE (x)	Valuation period	EPS (NT\$)	Target Price (NT\$)
Old	30	2027SP	27.9	840
New	40	2027SP	32.8	1,300

Source: SinoPac

Figure 5

QFII holdings

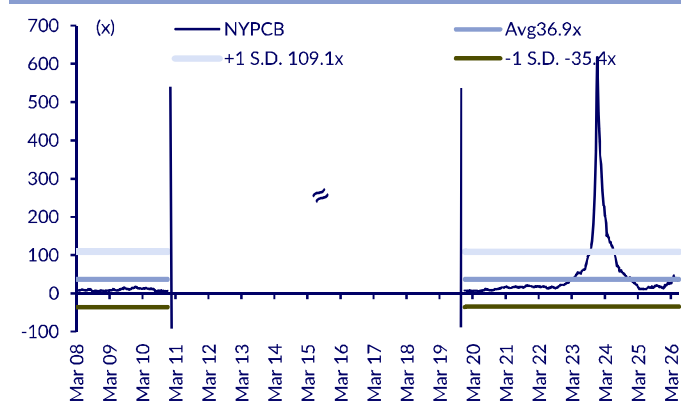


Source: SinoPac

Foreign investors hold 13%

Figure 6

Forward PE



Source: SinoPac

Figure 7

Forward PB



Source: SinoPac

Investment thesis

While NYPCB's shipments are more tied to mid- to low-end demand, which will still be impacted by the inflated memory costs, given that AI demand will likely significantly outpace the industry supply increase, we expect second-tier vendors like it to start to enjoy stronger spillover demand from the leaders. With us still in the very early stage of the ABF upcycle, we continue to expect favourable pricing to drive further earnings upside for NYPCB.

Catalysts

1) Stronger price hikes from 2Q26 driving margin expansion; 2) better yield progress on AI/HPC-related orders; 3) strong memory demand driving BT loading and potentially some like-to-like price hikes driving a margin recovery.

Valuation details

We value NYPCB on PE as we believe the market will primarily focus on its earnings growth outlook. Our target multiple of 40x is at the upper end of the last upcycle PE during 2020-22 to reflect strong ABF demand along with margin improvement due to favourable pricing.

Investment risks

Downside risks: 1) slower-than-expected ABF yield improvement; 2) an AI demand correction weighing on ABF demand; 3) more aggressive capacity expansion from competitors.

Detailed financials

Profit & Loss (NT\$m)

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Revenue	64,647	42,253	32,283	40,173	52,935	71,767	86,258
Cogs (ex-D&A)	(34,435)	(28,179)	(25,466)	(29,632)	(33,343)	(37,765)	(36,683)
Gross Profit (ex-D&A)	30,212	14,073	6,818	10,541	19,592	34,002	49,575
Research & development costs	0	0	0	0	0	0	0
Selling & marketing expenses	(664)	(386)	(321)	(373)	(505)	(540)	(540)
Other SG&A	(1,629)	(1,461)	(1,304)	(1,291)	(1,244)	(1,260)	(1,260)
Other Op Expenses ex-D&A	-	-	-	-	-	-	0
Op Ebitda	27,919	12,226	5,193	8,876	17,843	32,202	47,775
Depreciation/amortisation	(4,344)	(5,896)	(6,460)	(6,894)	(7,203)	(7,200)	(7,200)
Op Ebit	23,575	6,330	(1,267)	1,982	10,640	25,002	40,575
Interest income	136	327	255	158	228	255	255
Interest expense	(22)	(19)	(18)	(14)	(16)	(18)	(18)
Net interest inc/(exp)	114	308	238	144	212	238	238
Associates/investments	62	29	30	20	35	30	30
Forex/other income	1,385	101	553	(173)	113	0	0
Asset sales/other cash items	-	-	-	-	-	-	-
Provisions/other non-cash items	242	325	609	372	546	612	612
Asset revaluation/Exceptional items	(16)	14	0	-	-	-	-
Profit before tax	25,362	7,107	163	2,346	11,546	25,882	41,454
Taxation	(5,946)	(1,290)	41	(399)	(2,080)	(4,659)	(7,462)
Profit after tax	19,416	5,817	204	1,947	9,466	21,223	33,992
Preference dividends	-	-	-	-	-	-	-
Profit for period	19,416	5,817	204	1,947	9,466	21,223	33,992
Minority interest	0	0	0	0	0	0	0
Net profit	19,416	5,817	204	1,947	9,466	21,223	33,992
Extraordinaries/others	0	0	0	0	0	0	0
Profit avail to ordinary shares	19,416	5,817	204	1,947	9,466	21,223	33,992
Dividends	(6,462)	(11,631)	(3,554)	(646)	(1,292)	(5,679)	(12,734)
Retained profit	12,954	(5,814)	(3,350)	1,301	8,173	15,544	21,259
Adjusted profit	19,416	5,817	204	1,947	9,466	21,223	33,992
EPS (NT\$)	30.0	9.0	0.3	3.0	14.6	32.8	52.6
Adj EPS [pre excep] (NT\$)	30.0	9.0	0.3	3.0	14.6	32.8	52.6
Core EPS (NT\$)	30.0	9.0	0.3	3.0	14.6	32.8	52.6
DPS (NT\$)	18.0	5.5	1.0	2.0	8.8	19.7	31.6

Profit & loss ratios

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Growth (%)							
Revenue growth (% YoY)	23.8	(34.6)	(23.6)	24.4	31.8	35.6	20.2
Ebitda growth (% YoY)	69.2	(56.2)	(57.5)	70.9	101.0	80.5	48.4
Ebit growth (% YoY)	83.2	(73.1)	(120.0)	nm	436.7	135.0	62.3
Net profit growth (%)	83.5	(70.0)	(96.5)	855.6	386.2	124.2	60.2
EPS growth (% YoY)	83.5	(70.0)	(96.5)	855.6	386.2	124.2	60.2
Adj EPS growth (% YoY)	83.5	(70.0)	(96.5)	855.6	386.2	124.2	60.2
DPS growth (% YoY)	80.0	(69.4)	(81.8)	100.0	339.5	124.2	60.2
Core EPS growth (% YoY)	83.5	(70.0)	(96.5)	855.6	386.2	124.2	60.2
Margins (%)							
Gross margin (%)	46.7	33.3	21.1	26.2	37.0	47.4	57.5
Ebitda margin (%)	43.2	28.9	16.1	22.1	33.7	44.9	55.4
Ebit margin (%)	36.5	15.0	(3.9)	4.9	20.1	34.8	47.0
Net profit margin (%)	30.0	13.8	0.6	4.8	17.9	29.6	39.4
Core profit margin	30.0	13.8	0.6	4.8	17.9	29.6	39.4
Op cashflow margin	50.0	39.1	6.7	7.5	37.4	35.8	46.0
Returns (%)							
ROE (%)	41.1	11.4	0.4	4.3	18.7	33.9	42.0
ROA (%)	26.1	6.8	(2.4)	2.7	12.6	24.0	31.8
ROIC (%)	45.2	10.9	(3.3)	3.6	20.1	49.6	85.8
ROCE (%)	76.0	18.4	(3.5)	5.3	31.9	89.3	163.6
Other key ratios (%)							
Effective tax rate (%)	23.4	18.2	(24.9)	17.0	18.0	18.0	18.0
Ebitda/net int exp (x)	-	-	-	-	-	-	-
Exceptional or extraord. inc/PBT (%)	-	-	-	-	-	-	-
Dividend payout (%)	59.9	61.1	317.2	66.4	60.0	60.0	60.0

Source: SinoPac

Click to rate this research



Balance sheet (NT\$m)

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Cash & equivalents	20,044	12,330	8,481	8,590	25,023	43,092	68,229
Accounts receivable	15,136	7,513	7,118	9,708	9,453	12,815	15,403
Inventories	5,803	3,896	4,101	5,068	5,068	5,621	5,485
Other current assets	0	736	976	258	258	258	258
Current assets	40,983	24,474	20,675	23,623	39,801	61,786	89,375
Fixed assets	37,267	43,107	39,991	35,373	35,113	29,542	23,942
Investments	1,225	1,134	774	961	974	917	951
Goodwill	0	0	0	0	0	0	0
Other intangible assets	0	0	0	0	0	0	0
Other non-current assets	2,276	1,723	1,499	1,250	1,491	1,413	1,385
Total assets	81,750	70,437	62,938	61,207	77,380	93,658	115,653
Short term loans/OD	-	-	-	-	-	-	-
Accounts payable	5,320	3,062	1,518	1,711	3,526	3,910	3,816
Accrued expenses	-	-	-	-	-	-	-
Taxes payable	0	0	0	0	0	0	0
Other current liabs	8,369	6,038	5,147	5,478	5,554	5,393	5,475
Current liabilities	13,689	9,100	6,664	7,189	9,080	9,303	9,291
Long-term debt/leases/other	-	-	-	-	-	-	-
Convertible bonds	-	-	-	-	-	-	-
Provisions/other LT liabs	14,339	13,429	10,824	7,896	14,003	14,515	15,263
Total liabilities	28,028	22,530	17,488	15,085	23,083	23,818	24,554
Share capital	6,462	6,462	6,462	6,462	6,462	6,462	6,462
Retained earnings	23,139	15,814	11,601	13,482	20,709	34,130	51,990
Reserves/others	24,022	25,983	26,600	26,630	27,577	29,699	33,098
Shareholder funds	53,623	48,259	44,662	46,574	54,747	70,291	91,550
Minorities/other equity	100	(351)	788	(451)	(451)	(451)	(451)
Total equity	53,723	47,908	45,450	46,123	54,296	69,840	91,098
Total liab & equity	81,750	70,437	62,938	61,207	77,380	93,658	115,653
Total debt	0	0	0	0	0	0	0
Net debt	(20,044)	(12,330)	(8,481)	(8,590)	(25,023)	(43,092)	(68,229)
Adjusted EV	581,825	594,960	601,096	605,831	584,942	567,801	543,530
BVPS (NT\$)	83.0	74.7	69.1	72.1	84.7	108.8	141.7

Balance sheet ratios

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Key ratios							
Current ratio (x)	3.0	2.7	3.1	3.3	4.4	6.6	9.6
Growth in total assets (% YoY)	45.1	(13.8)	(10.6)	(2.8)	26.4	21.0	23.5
Growth in capital employed (% YoY)	16.3	6.7	3.9	1.5	(22.0)	(8.6)	(14.5)
Net debt to operating cashflow (x)	-	-	-	-	-	-	-
Gross debt to operating cashflow (x)	-	-	-	-	-	-	-
Gross debt to Ebitda (x)	-	-	-	-	-	-	-
Net debt/Ebitda (x)	-	-	-	-	-	-	-
Gearing							
Net debt/equity (%)	(37.3)	(25.7)	(18.7)	(18.6)	(46.1)	(61.7)	(74.9)
Gross debt/equity (%)	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Interest cover (x)	1,053.9	343.7	(57.7)	155.0	671.4	1,440.4	2,328.5
Debt cover (x)	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Net cash per share (NT\$)	31.0	19.1	13.1	13.3	38.7	66.7	105.6
Working capital analysis							
Inventory days	52.5	51.9	45.7	45.8	45.6	43.4	46.2
Debtor days	74.2	97.8	82.7	76.4	66.1	56.6	59.7
Creditor days	42.2	44.9	26.2	16.1	23.6	30.2	32.1
Working capital/Sales (%)	11.2	7.2	17.1	19.5	10.8	13.1	13.7
Capital employed analysis							
Sales/Capital employed (%)	193.8	118.8	87.3	107.0	180.8	268.3	377.2
EV/Capital employed (%)	1,744.6	1,672.3	1,625.9	1,614.1	1,998.2	2,122.8	2,376.7
Working capital/Capital employed (%)	21.7	8.6	15.0	20.9	19.5	35.1	51.8
Fixed capital/Capital employed (%)	111.7	121.2	108.2	94.2	119.9	110.4	104.7
Other ratios (%)							
PB (x)	11.5	12.8	13.8	13.2	11.3	8.8	6.7
EV/Ebitda (x)	20.8	48.7	115.7	68.3	32.8	17.6	11.4
EV/OCF (x)	18.0	36.0	278.3	200.1	29.6	22.1	13.7
EV/FCF (x)	37.8	125.7	(2,743.3)	1,001.9	33.9	24.5	14.6
EV/Sales (x)	9.0	14.1	18.6	15.1	11.1	7.9	6.3
Capex/depreciation (%)	389.5	199.8	36.8	35.1	34.7	34.7	34.7

Source: SinoPac

Cashflow (NT\$m)

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Operating profit	23,575	6,330	(1,267)	1,982	10,640	25,002	40,575
Operating adjustments	(4,159)	(513)	1,470	(36)	(1,175)	(3,779)	(6,582)
Depreciation/amortisation	4,344	5,896	6,460	6,894	7,203	7,200	7,200
Working capital changes	556	4,771	(2,617)	(2,304)	2,146	(3,692)	(2,464)
Interest paid / other financial expenses	(62)	(29)	(30)	(20)	(35)	(30)	(30)
Tax paid	-	-	-	-	-	-	-
Other non-cash operating items	8,053	59	(1,857)	(3,490)	1,000	1,000	1,000
Net operating cashflow	32,307	16,513	2,160	3,027	19,779	25,701	39,698
Capital expenditure	(16,922)	(11,779)	(2,379)	(2,422)	(2,500)	(2,500)	(2,500)
Free cashflow	15,386	4,734	(219)	605	17,279	23,201	37,198
Acq/inv/disposals	-	(277)	-	-	-	-	-
Int, invt & associate div	53	(195)	(223)	700	94	190	328
Net investing cashflow	(16,869)	(12,251)	(2,602)	(1,723)	(2,406)	(2,310)	(2,172)
Increase in loans	(1,981)	-	-	-	-	-	-
Dividends	(6,462)	(11,631)	(3,554)	(646)	(1,292)	(5,679)	(12,734)
Net equity raised/others	(222)	(180)	(289)	(241)	350	350	350
Net financing cashflow	(8,665)	(11,811)	(3,843)	(887)	(942)	(5,329)	(12,384)
Incr/(decr) in net cash	6,774	(7,549)	(4,285)	418	16,431	18,062	25,142
Exch rate movements	76	(166)	436	(309)	2	8	(6)
Opening cash	13,194	20,044	12,330	8,481	8,590	25,023	43,092
Closing cash	20,044	12,330	8,481	8,590	25,023	43,092	68,229
OCF PS (NT\$)	50.0	25.6	3.3	4.7	30.6	39.8	61.4
FCF PS (NT\$)	23.8	7.3	(0.3)	0.9	26.7	35.9	57.6

Cashflow ratio analysis

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Growth (%)							
Op cashflow growth (% YoY)	102.8	(48.9)	(86.9)	40.2	553.4	29.9	54.5
FCF growth (% YoY)	105.8	(69.2)	(104.6)	-	2,757.6	34.3	60.3
Capex growth (%)	100.2	(30.4)	(79.8)	1.8	3.2	0.0	0.0
Other key ratios (%)							
Capex/sales (%)	26.2	27.9	7.4	6.0	4.7	3.5	2.9
Capex/op cashflow (%)	52.4	71.3	110.1	80.0	12.6	9.7	6.3
Operating cashflow payout ratio (%)	36.0	21.5	29.9	42.7	28.7	49.5	51.4
Cashflow payout ratio (%)	20.0	70.4	164.6	21.3	6.5	22.1	32.1
Free cashflow payout ratio (%)	42.0	245.7	-	106.9	7.5	24.5	34.2

DuPont analysis

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Ebit margin (%)	36.5	15.0	(3.9)	4.9	20.1	34.8	47.0
Asset turnover (x)	0.9	0.6	0.5	0.6	0.8	0.8	0.8
Interest burden (x)	1.1	1.1	(0.1)	1.2	1.1	1.0	1.0
Tax burden (x)	0.8	0.8	1.2	0.8	0.8	0.8	0.8
Return on assets (%)	26.1	6.8	(2.4)	2.7	12.6	24.0	31.8
Leverage (x)	1.5	1.5	1.4	1.4	1.4	1.4	1.3
ROE (%)	41.1	11.4	0.4	4.3	18.7	33.9	42.0

EVA® analysis

Year to 31 December	2022A	2023A	2024A	2025A	2026SP	2027SP	2028SP
Ebit adj for tax	18,048	5,181	(1,583)	1,645	8,723	20,502	33,271
Average invested capital	39,903	47,333	47,446	45,744	43,385	41,324	38,764
ROIC (%)	45.2	10.9	(3.3)	3.6	20.1	49.6	85.8
Cost of equity (%)	6.9	6.9	6.9	6.9	6.9	6.9	6.9
Cost of debt (adj for tax)	2.0	2.1	3.2	2.2	2.1	2.1	2.1
Weighted average cost of capital (%)	5.5	5.6	5.9	5.6	5.6	5.6	5.6
EVA/IC (%)	39.7	5.4	(9.2)	(2.0)	14.5	44.0	80.3
EVA (NT\$m)	15,838	2,542	(4,377)	(909)	6,304	18,197	31,109

Source: SinoPac



Research subscriptions

To change your report distribution requirements, please contact your CLSA sales representative or email us at cib@cls.com. You can also fine-tune your Research Alert email preferences at https://www.cls.com/member/tools/email_alert/.

Companies mentioned

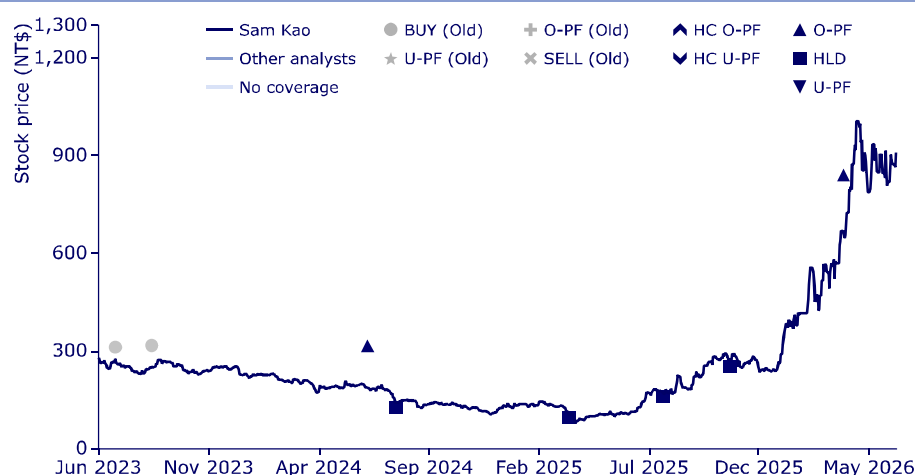
Nan Ya PCB (8046 TT - NT\$955.00 - OUTPERFORM)

Analyst certification

The analyst(s) of this report hereby certify that the views expressed in this research report accurately reflect my/our own personal views about the securities and/or the issuers and that no part of my/our compensation was, is, or will be directly or indirectly related to the specific recommendation or views contained in this research report.

Important disclosures

Recommendation history of Nan Ya Printed Circuit Board Corporation 8046 TT



Date	Rec	Target	Date	Rec	Target
LATEST	O-PF	1,300.00	07 Aug 2024	HLD	125.00
12 Apr 2026	O-PF	840.00	28 Jun 2024	O-PF	315.00
07 Nov 2025	HLD	250.00	06 Sep 2023	BUY	315.00
07 Aug 2025	HLD	160.00	18 Jul 2023	BUY	310.00
01 Apr 2025	HLD	95.00			

Note: At 6pm (HKT) on 28 June 2024, we changed our ratings to Outperform (O-PF), Hold (HLD) and Underperform (U-PF); and on 16 December 2024, we added the ratings: High-Conviction Outperform (HC O-PF) and High-Conviction Underperform (HC U-PF). Please see Key to CLSA/SinoPac investment rankings below for details. Source: CLSA, SinoPac

This research report is prepared for and distributed by CLSA pursuant to a research products agreement between CLSA Limited and SinoPac Securities Investment Service Corporation (SinoPac). SinoPac has confirmed to CLSA Limited that the opinions expressed are based on information it believes to be fair, accurate and complete and obtained through reliable public or other non-confidential sources at the time made.

CLSA in this research report refers to CLSA Limited, CLSA Americas, LLC, CLSA Australia Pty Ltd, CLSA India Private Limited, PT CLSA Sekuritas Indonesia (a securities company licensed and supervised by Financial Services Authority (Otoritas Jasa Keuangan)), CLSA Securities Japan Co., Ltd., CLSA Securities Korea Ltd., CLSA Securities Malaysia Sdn. Bhd., CLSA Philippines, Inc, CLSA Singapore Pte Ltd, CLSA Securities (Thailand) Limited, CLSA (UK), CLSA Europe B.V. and/or their respective affiliates (collectively, CLSA).

The analyst(s) whose name appears in this research report is not registered or qualified as a research analyst with the Financial

Industry Regulatory Authority (FINRA) and may not be an associated person of CLSA and, therefore, may not be subject to applicable restrictions under FINRA Rules on communications with a subject company, public appearances and trading securities held by a research analyst account.

Any opinions or estimates herein reflect the judgment of the analyst(s) at the date of this report and are subject to change at any time without notice. This report has been distributed by CLSA employing appropriate expertise, and in the belief that it is impartial, independent, clear, fair and not misleading. The information set forth herein was obtained from sources believed to be reliable, but has not been independently verified by CLSA nor SinoPac. Therefore, except for any obligation under applicable rules neither CLSA nor SinoPac guarantees its accuracy. Additional and supporting information is available upon request.

This report is for information purposes only and it does not constitute or contain, and should not be considered as an offer or

Click to rate this research



invitation to sell, or any solicitation or invitation of any offer to subscribe for or purchase any securities in any jurisdiction and recipient of this report must make its own independent decisions regarding any securities or financial instruments mentioned herein. This is not intended to provide professional, investment or any other type of advice or recommendation and does not take into account the particular investment objectives, financial situation or needs of individual recipients. Before acting on any information in this report, you should consider whether it is suitable for your particular circumstances and, if appropriate, seek professional advice, including legal or tax advice. Investments involve risks, and investors should exercise prudence and their own judgement in making investment decisions. The value of any investment or income may go down as well as up, and investors may not get back the full (or any) amount invested. Investments that are denominated in foreign currencies may fluctuate in value as a result of exposure to movements of exchange rate. Past performance is not necessarily a guide to future performance or liquidity. CLSA and/or SinoPac do/does not accept any responsibility and cannot be held liable for any person's use of or reliance on the information and opinions contained herein. To the extent permitted by applicable securities laws and regulations, CLSA and/or SinoPac accept(s) no liability whatsoever for any direct or consequential loss arising from the use of this report or its contents.

SinoPac may rely on information barriers, such as "Chinese Walls" to control the flow of information within the areas, units, divisions, groups, or affiliates of SinoPac. Meanwhile, CLSA maintains independence and integrity of its Research department, by having its Corporate Finance, Sales Trading, Asset Management and Research business lines distinct from one another. This means that CLSA's Research department is not part of and does not report to CLSA's Corporate Finance department, CLSA's Sales and Trading business or Asset Management business. Accordingly, neither the Corporate Finance department, the Sales and Trading department nor the Asset Management department supervises or controls the activities of CLSA's research analysts. CLSA's research analysts report to the management of the Research department, who in turn report to CLSA's senior management. CLSA has put in place a number of internal controls designed to manage conflicts of interest that may arise as a result of CLSA engaging in Corporate Finance, Sales and Trading, Asset Management and Research activities. Some examples of these controls include: the use of information barriers and other controls designed to ensure that confidential information is only shared on a "need to know" basis and in compliance with CLSA's Chinese Wall policies and procedures; measures designed to ensure that interactions that may occur among CLSA's Research personnel, Corporate Finance, Asset Management, and Sales and Trading personnel, CLSA's financial product issuers and CLSA's research analysts do not compromise the integrity and independence of CLSA's research.

Subject to any applicable laws and regulations at any given time, CLSA, SinoPac, their respective affiliates or officers, directors or employees may have used the information contained herein before or after publication and may have positions in, or may from time to time purchase or sell or have an interest or a material interest in any of the securities mentioned or related securities, or may currently or in future have or have had a business or financial relationship with, or may provide or have provided corporate finance/capital markets and/or other services to, the entities referred to herein, their advisors and/or any other connected parties. As a result, you should be aware that CLSA and/or SinoPac and/or their respective affiliates, officers, directors or employees may have one or more conflicts of interest. Regulations or market practice of some jurisdictions/markets prescribe certain disclosures to be made for certain actual, potential or perceived conflicts of interests relating to research reports. Details of the disclosable interest can be found in certain reports as required by the relevant rules and regulation and the full details are available at http://www.clsa.com/member/research_disclosures/. Disclosures therein include the position of CLSA only. Unless specified otherwise, CLSA and SinoPac did not receive any compensation or other benefits from the subject company, covered in this report, or from any third party. For CITICS disclosure about specific companies mentioned herein, please access: https://www.clsa.com/member/research_disclosures_citics/. For SinoPac disclosure about specific companies mentioned herein,

please access: https://www.clsa.com/member/research_disclosures_sinopac/. If investors have any difficulty accessing this website, please contact webadmin@clsa.com or login.enquiry@clsa.com. If you require disclosure information on previous dates, please contact compliance_hk@clsa.com.

Neither analysts nor their household members or associates may have a financial interest in, or be an officer, director or advisory board member of companies covered by the analyst unless disclosed herein. In circumstances where an analyst has a pre-existing holding in any securities under coverage, those holdings are grandfathered and the analyst is prohibited from trading such securities.

As analyst(s) of this report, I/we hereby certify that the views expressed in this research report accurately reflect my/our own personal views about the securities and/or the issuers and that no part of my/our compensation was, is, or will be directly or indirectly related to the specific recommendation or views contained in this report.. The analyst/s also state/s and confirm/s that he/she/they has/have not been subject to any outside influence in connection with this research report. In addition, the analysts included herein attest that they were not in possession of any material, non-public information regarding the subject company that has securities listed in the relevant jurisdiction(s) at the time of publication of this report. Save from the disclosure below (if any), the analyst(s) is/are not aware of any material conflict of interest. For full disclosure of interest for all companies covered in this report, please refer to http://www.clsa.com/member/research_disclosures/ and https://www.clsa.com/member/research_disclosures_sinopac/ for details.

Key to CLSA/SinoPac investment rankings: From 16 December 2024: High-Conviction Outperform (HC O-PF): Strong conviction that a top-quartile stock (by expected return in analyst's coverage) will outperform and total stock return (TSR) expected to exceed or be equal to 10%; Outperform (O-PF): TSR expected to exceed or be equal to 10%; Hold (HLD): TSR expected to be below 10% but more than or equal to negative 10%; Underperform (U-PF): TSR expected to be below negative 10%; High-Conviction Underperform (HC U-PF): Strong conviction that a bottom-quartile stock (by expected return in analyst's coverage) will underperform and total stock return expected to be below negative 10%. TSR is up/downside to 12-month target price plus dividend. From 6pm (HK time) on 28 June 2024 and up to 16 December 2024: Outperform (O-PF): TSR expected to exceed or be equal to 10%; Hold (HLD): TSR expected to be below 10% but more than or equal to negative 10%; Underperform (U-PF): TSR expected to be below negative 10%. Up to 6pm (HK time) on 28 June 2024: BUY: Total stock return (including dividends) expected to exceed 20%; O-PF (aka ACCUMULATE): Total expected return below 20% but exceeding market return; U-PF (aka REDUCE): Total expected return positive but below market return; SELL: Total return expected to be negative. For relative performance, we benchmarked the 12-month total forecast return (including dividends) for the stock against the 12-month forecast return (including dividends) for the market on which the stock trades.

For purposes of regulatory disclosure only, our High-Conviction Outperform and Outperform ratings fall into a buy rating category; our Hold rating falls into a hold rating category; and our High-Conviction Underperform and Underperform ratings fall into a sell rating category.

For a history of the recommendation, price targets and disclosure information for companies mentioned in this report please write to: CLSA Group Compliance, 18/F, One Pacific Place, 88 Queensway, Hong Kong. EVA® is a registered trademark of Stern, Stewart & Co. "CL" in charts and tables stands for CLSA estimates, "CS" for CITIC Securities estimates and "SP" stands for SinoPac estimates, unless otherwise noted in the source.

Charts and tables sourced to CLSA or SinoPac in this report may include data extracted from CLSA or SinoPac's automated databases, which derive their original data from a range of sources. These can include: companies; analyst estimates/calculations; local exchanges and/or third-party data or market pricing providers such as Bloomberg, FactSet or IBES. Additional information on data sources for specific charts or tables can be obtained by contacting the publishing analysts.

This report is subject to and incorporates the terms and conditions

of use set out on the [www.clsa.com](https://www.clsa.com/terms-and-conditions-of-use/) website (<https://www.clsa.com/terms-and-conditions-of-use/>) and the references to "publication/communication" or "Publications" thereof shall include this report. Neither this report nor any portion hereof may be reprinted, sold, resold, copied, reproduced, distributed, redistributed, published, republished, displayed, posted or transmitted in any form or media or by any means without the written consent of CLSA. This report has been produced for private circulation to professional, institutional and/or wholesale clients only, and may not be distributed to retail investors. The information, opinions and estimates herein are not directed at, or intended for distribution to or use by, any person or entity in any jurisdiction where doing so would be contrary to law or regulation or which would subject CLSA and/or SinoPac to any additional registration or licensing requirement within such jurisdiction. The information and statistical data (for private or public companies) herein have been obtained from sources CLSA and/or SinoPac believe to be reliable. Such information has not been independently verified by CLSA and/or SinoPac. CLSA and/or SinoPac together with their respective directors, officers, employees and other representatives (Representatives) make no representation or warranty as to the fairness, adequacy, accuracy, completeness or correctness of the contents of this research, including views and company information. None of the CLSA, SinoPac and their respective Representatives undertake any obligation to update the information contained herein. None of CLSA, SinoPac and their respective Representatives shall be liable for any damages, losses, or other consequences arising from the use or reliance on the information herein.

The replication of any third party views in this report should not be treated necessarily as an indication that CLSA and/or SinoPac agrees with or concurs with such views. None of CLSA and/or SinoPac, their respective affiliates and their respective directors, officers, employees, advisers and representatives makes any representation or warranty, express or implied, as to and no reliance should be placed on, the fairness, accuracy, completeness or correctness of such data or information contained herein or any statement made in this report. Any opinions or estimates herein reflect the judgment of the analyst(s) at the date of this report and are subject to change at any time without notice. Where any part of the information, opinions or estimates contained herein reflects the views and opinions of a sales person or a non-analyst, such views and opinions may not correspond to the published view of CLSA and/or SinoPac. Any price target given in the report may be projected from one or more valuation models and hence any price target may be subject to the inherent risk of the selected model as well as other external risk factors. Where the publication does not contain ratings, the material should not be construed as research but is offered as factual commentary. It is not intended to, nor should it be used to form an investment opinion about the non-rated companies.

You should make your own independent evaluation of the relevance, adequacy, and correctness of information contained in this report and conduct such investigations as you deem necessary, including making inquiries with the company and obtaining independent financial or investment advice before making critical decisions. You shall not use or rely on the contents of the information herein for any purpose. You shall apply caution when using this report at your own risk. You shall assume full responsibility for any interpretations, decisions, or actions taken based on the information provided and assume all risks associated with the use of this report, and releases CLSA, SinoPac, their respective affiliates and Representatives from any liability arising from such use. You shall be solely responsible for any losses incurred.

Please be aware that artificial intelligence (AI) may be utilized in connection with research, analysis and reporting activities and such use may range from superficial (e.g., auxiliary data processing) to material (e.g., primary analysis or inclusion of AI-generated content contained herein). This report contained herein may contain AI generated content and may contain inaccuracies, omissions, misstatement, or misinterpretations due to AI's inherent limitations. CLSA and/or SinoPac together with their respective Representatives may or may not have reviewed, edited, or approved such research report contained herein.

The report contained herein is strictly prohibited from being used,

in whole or in part, for the purpose of training AI system, including but not limited to machine learning models or any other AI related development, whether for commercial, public or broad use or distribution purposes, unless with the prior written consent of CLSA. The report provided herein is intended solely for informational purposes and is not designed or authorized for integration with or use within any AI tools or systems by the report user. The report user shall not, under any circumstances, incorporate, feed, or utilize the content of the report directly or indirectly into any AI applications, models or algorithms. By accessing information herein, you agree to abide by these restrictions and CLSA reserves the right to enforce these terms and pursue remedies for unauthorized use.

Any disputes related to this report shall be governed by the laws of Hong Kong and to the non-exclusive jurisdiction of the courts of Hong Kong in connection with any suite, action or proceeding arising out of or in connection with this material. In the event any of the provisions in these General Disclaimer shall be held to be unenforceable, that provision shall be enforced to the maximum extent permissible to reflect the intention underlying the unenforceable term, and the remainder of these General Disclaimer shall be unimpaired.

This research report is prepared and distributed for and on behalf of CLSA (for research compiled by non-US analyst(s)) in the United States by CLSA Americas, LLC (to its customers); in Australia by CLSA Australia Pty Ltd (ABN 53 139 992 331/AFSL License No: 350159); in Hong Kong by CLSA Limited (Incorporated in Hong Kong with limited liability); in India by CLSA India Private Limited, (Address: 8/F, Dalamal House, Nariman Point, Mumbai 400021. Tel No: +91-22-66505050; CIN: U67120MH1994PTC083118; SEBI Registration No: INZ000001735 as Stock Broker, INM000010619 as Merchant Banker and INH000000113 as Research Analyst; in Indonesia by PT CLSA Sekuritas Indonesia (a securities company licensed and supervised by Financial Services Authority (Otoritas Jasa Keuangan)); in Japan by CLSA Securities Japan Co. Ltd.; in Korea by CLSA Securities Korea Ltd.; in Malaysia by CLSA Securities Malaysia Sdn. Bhd.; in the Philippines by CLSA Philippines Inc; in Singapore by CLSA Singapore Pte Ltd and solely to persons who qualify as an "Institutional Investor", "Accredited Investor" or "Expert Investor" MDDI (P) 035/11/2025; in Thailand by CLSA Securities (Thailand) Limited; and in the European Economic Area ("EEA") by CLSA Europe BV and in the United Kingdom by CLSA (UK).

China Hong Kong: This research report is distributed by CLSA Limited. This research report is distributed in Hong Kong only to professional investors (as defined in the Securities and Futures Ordinance (Chapter 571 of the Laws of Hong Kong) and any rules promulgated thereunder) and may not be distributed to retail investors. Recipients should contact Matthew Overly, Tel: +852 2600 8315 of CLSA Limited in respect of any matters arising from, or in connection with, the analysis or report.

Australia: This report has been prepared for and on behalf of CLSA pursuant to a research products agreement between CLSA Limited and SinoPac. SinoPac does not hold an Australian financial services license and relies on licensing relief as a Foreign Financial Services Provider, limited to distribution to Australian "wholesale" investors only. If you are an Australian investor, you represent and continue to represent on an ongoing basis, that you are a wholesale investor and if you cease being a wholesale investor, please contact us immediately. CLSA Australia Pty Limited has not been involved in the preparation of this document. Therefore, recommendations of SinoPac in this document should not be regarded as recommendations of CLSA Australia Pty Limited. CLSA Australia Pty Limited does not take any responsibility for, and to the maximum extent permitted by law disclaims any liability for, the content of this document.

CLSA Australia Pty Ltd ("CAPL") (ABN 53 139 992 331/AFS License No: 350159) is regulated by the Australian Securities and Investments Commission ("ASIC") and is a Market Participant of ASX Limited and Cboe Australia Pty Ltd. This material does not take into account the specific investment objectives, financial situation or particular needs of the recipient. The recipient of this material must not distribute it to any third party without the prior written consent of CAPL. For the purposes of this paragraph the term "wholesale client" has the meaning given in section 761G of the Corporations Act 2001. CAPL's research coverage universe spans listed securities across the ASX All Ordinaries index, securities listed on offshore

markets, unlisted issuers and investment products which Research management deem to be relevant to the investor base from time to time. CAPL seeks to cover companies of relevance to its domestic and international investor base across a variety of sectors.

India: CLSA India Private Limited, incorporated in November 1994 provides equity brokerage services (SEBI Registration No: INZ000001735), research services (SEBI Registration No: INH000001113) and merchant banking services (SEBI Registration No: INM000010619) to global institutional investors, pension funds and corporates. CLSA and its associates may have debt holdings in the subject company. Further, CLSA and its associates, in the past 12 months, may have received compensation for non-investment banking services and/or non-securities related services from the subject company. For further details of "associates" of CLSA India please contact Compliance-India@clsacsa.com. Registration granted by SEBI and certification from NISM in no way guarantee performance of CLSA India Private Limited or provide any assurance of returns to investors. Compliance officer & Grievance officer: Neeta Sanghavi, Tel: 22 6650 5050. Email address of Compliance officer and Grievance cell: compliance-india@clsacsa.com.

Singapore: This report is distributed in Singapore by CLSA Singapore Pte Ltd to institutional investors, accredited investors or expert investors (each as defined under the Financial Advisers Regulations) only. Singapore recipients should contact CLSA Singapore Pte Ltd, 80 Raffles Place, #18-01, UOB Plaza 1, Singapore 048624, Tel: +65 6416 7888, in respect of any matters arising from, or in connection with, the analysis or report. By virtue of your status as an institutional investor, accredited investor or expert investor, CLSA Singapore Pte Ltd is exempted from complying with certain requirements under the Financial Advisers Act 2001, the Financial Advisers Regulations and the relevant Notices and Guidelines issued thereunder (as disclosed in Part C of the Securities Dealing Services – Singapore Annex of the CLSA terms of business), in respect of any financial advisory services that CLSA Singapore Pte Ltd may provide to you. MDDI (P) 035/11/2025.

United States of America: This research report has been prepared for and on behalf of CLSA pursuant to a research products agreement between CLSA Limited and SinoPac. Where any section is compiled by non-US analyst(s), it is distributed into the United States in one of two ways: 1) by CLSA Americas, LLC, as third party research, or 2) by CLSA (except CLSA Americas, LLC) solely to persons who qualify as "Major US Institutional Investors" as defined in Rule 15a-6 under the Securities and Exchange Act of 1934 and who deal with CLSA Americas, LLC. However, the delivery of this research report to any person in the United States shall not be deemed a recommendation to effect any transactions in the securities discussed herein or an endorsement of any opinion expressed herein. Any recipient of this research in the United States wishing to effect a transaction in any security mentioned herein should do so by contacting CLSA Americas, LLC. For Trades, information or any other forms of transactions or communications that are routed or processed outside the CLSA group's system, CLSA Americas, LLC is not acting as 15a-6 Agent and such activity should not be considered the liability of CLSA Americas, LLC or any other members of CLSA group.

Canada: This research report has been prepared for and on behalf of CLSA pursuant to a research products agreement between CLSA Limited and SinoPac. The delivery of this research report to any

person in Canada shall not be deemed a recommendation to effect any transactions in the securities discussed herein or an endorsement of any opinion contained herein.

The United Kingdom: This document is a marketing communication. It has not been prepared in accordance with the legal requirements designed to promote the independence of investment research, and is not subject to any prohibition on dealing ahead of the dissemination of investment research. The document is disseminated in the UK by CLSA (UK) and directed at persons having professional experience in matters relating to investments, as defined in the relevant applicable local regulations. Any investment activity to which it relates is only available to such persons. If you do not have professional experience in matters relating to investments you should not rely on this document. CLSA (UK) is authorised and regulated by the Financial Conduct Authority.

The European Economic Area ("EEA"): Research is distributed by CLSA Europe BV, authorised and regulated by the Netherlands Authority for Financial Markets.

Malaysia: This publication is distributed by CLSA Securities Malaysia Sdn Bhd (CLSA Malaysia) and is intended solely for persons with sufficient knowledge and experience in investment. The information contained herein pertains exclusively to those with such expertise, and any investment decisions based on it should only be undertaken by such persons. If a person lacks knowledge, experience, or qualifications in investment matters, please refrain from relying on this document. Malaysia recipients should contact CLSA Securities Malaysia Sdn Bhd, Suite 21-01, Level 21, Menara Generali, 27 Jalan Sultan Ismail, 50250 Kuala Lumpur, Tel: +603 20567888, in respect of any matters arising from, or in connection with, the analysis or report.

CLSA Malaysia's research coverage universe spans listed securities across the FBM KLCI Index, securities listed on offshore markets, unlisted issuers and investment products which Research management deem to be relevant to the investor base from time to time. CLSA Malaysia seeks to cover companies of relevance to its domestic and international investor base across a variety of sectors.

Korea: This research report has been prepared for informational purposes only; it does not constitute an offer or a solicitation of an offer to buy or sell any securities or other financial instruments. The information and data contained in this report have been obtained from sources we consider reliable; however, we make no representation that the information provided in this report is accurate or complete, and it should not be relied on as such. The recipient of this report should use his/her independent judgment regarding the sale or purchase of any securities or financial instruments mentioned herein. We disclaim any liability whatsoever for any direct or consequential loss arising from any use of this report or its contents. This report is for our clients only.

For all other jurisdiction-specific disclaimers please refer to <https://www.clsacsa.com/disclaimer.html>. The analysts/contributors to this report may be employed by any relevant CLSA entity or SinoPac, which is different from the entity that distributes the report in the respective jurisdictions. © 2026 CLSA Limited and/or SinoPac Securities Investment Service Corporation.

Investment in the securities market is subject to market risks. Read all the related documents carefully before investing.